

ages. It places great emphasis on judgment and frees one's mind from the normal encumbrances that often exist in institutional money management. It probably makes one grow a little older, a little sooner, too.

RISK

We use a somewhat superficial measure in determining our overall exposure, which we call our "risk factor." This is simply the relationship between the total dollars on our long side and the total dollars on our short side in relation to our capital. While a typical institution can vary its market exposure between 100 per cent and zero, our risk factor can, at least in theory, vary from plus 200 per cent to minus 200 per cent (in view of current Federal Reserve margin requirements).

This approach to risk measurement does not deal with individual stock volatility or stock selections *per se*. But it does create a much broader framework for dealing with market exposure. We have at various times been "net short," which means having more dollars on the short side than the long side. I view our approach as *conservative* relative to most institutions whose market exposure is relatively or even extremely inflexible. Over the 15 years of the firm's existence, our exposure on average has been less than 50 per cent of capital; put another way, less than 50 per cent of the firm's capital has been net long exposed to the market on average.

SELLING SHORT

Selling short conjures up all sorts of pejorative implications; it sometimes feels unpatriotic. It is psychologically unnerving and takes a greater degree of discipline than that needed